GREEN CLIMATE FUND

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Consideration of accreditation proposals – Addendum VI
Accreditation assessment of APL129

Summary

This document contains the accreditation assessment conducted by the Secretariat and the Accreditation Panel in accordance with decision B.24/13, and the recommendation by the Accreditation Panel for accreditation of applicant 129 (APL129), Nepal Investment Mega Bank Limited (NIMB), based in Nepal, for the first accreditation term.

I. Introduction

1. The Nepal Investment Mega Bank Limited (NIMB) is a national private sector direct access entity based in Nepal. With its goal to help develop the industrial, commercial and agricultural sectors of Nepal, the applicant, as a leading commercial bank, has mobilized investments from internal or external sources and has provided various financial services in areas of renewable energy, agriculture, tourism, transport, cement industries and garment industries in the country. The applicant has also been working closely with small and medium enterprises with an aim to bring dynamism and boost employment in rural and urban areas of Nepal and contribute to eliminating poverty.

2. Nepal Investment Bank Ltd., which merged with Mega Bank Limited to form the applicant on 11 January 2023, submitted its application for accreditation to GCF via the online accreditation system on 16 January 2019. Accreditation fees were received from the applicant on 22 July 2019, thereby launching the Stage I institutional assessment and completeness check. Stage I was completed on 25 August 2021 and the applicant progressed to the Stage II (Step 1) accreditation review, which has been concluded with the publication of this assessment. The applicant has applied to be accredited for the following parameters under the GCF fit-for-purpose approach:

(a) **Access modality:** direct access, national. The applicant received a national designated authority (NDA) or focal point nomination for its accreditation application from Nepal;

(b) **Track:** normal track;

(c) **Maximum size of an individual project or activity within a programme:** medium;[1]

(d) **Fiduciary functions:**[2]

  (i) Basic fiduciary standards;

  (ii) Specialized fiduciary standard for project management; and

  (iii) Specialized fiduciary standard for on-lending and/or blending (for loans and guarantees);

(e) **Maximum environmental and social risk category:** medium risk (category B/intermediation 2 (I-2));[3] and

(f) **Indicative results areas for intended projects/programmes with GCF:**

  (i) Energy generation and access;

  (ii) Transport;

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[1] As per annex I to decision B.08/02 (annex I to document GCF/B.08/45), "medium" is defined as "maximum total projected costs at the time of application, irrespective of the portion that is funded by the GCF, of above USD 50 million and up to and including USD 250 million for an individual project or an activity within a programme."

[2] Decision B.07/02.

[3] As per annex I to decision B.07/02 (annex I to document GCF/B.07/11), Category B is defined as "Activities with potential mild adverse environmental and/or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures," and intermediation 2 is defined as "When an intermediary's existing or proposed portfolio includes, or is expected to include, substantial financial exposure to activities with potential limited adverse environmental or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures; or includes a very limited number of activities with potential significant adverse environmental and/or social risks and/or impacts that are diverse, irreversible, or unprecedented."

(iii) Buildings, cities, industries and appliances;

(iv) Forests and land use;

(v) Livelihoods of people and communities;

(vi) Health, food, and water security;

(vii) Infrastructure and built environment;

(viii) Ecosystems and ecosystem services; and

(ix) Public, private, and cross-cutting types of projects/programmes.

II. Stage I: Institutional assessment and completeness check

3. The applicant applied and was assessed by the Secretariat during Stage I under the normal track accreditation process in accordance with GCF policies and standards to the extent applicable to accreditation below:

(a) "Updated strategic plan for the Green Climate Fund: 2020–2023" (decision B.27/06);

(b) "Matters related to the accreditation framework" regarding the accreditation process (decisions B.24/13 and B.26/01);

(c) "Guiding Framework and Procedures for Accrediting National, Regional and International Implementing Entities and Intermediaries, Including the Fund's Fiduciary Principles and Standards and Environmental and Social Safeguards" (decision B.07/02);

(d) "Guidelines for the Operationalization of the Fit-for-purpose Accreditation Approach" (decision B.08/02);

(e) "Policy on Prohibited Practices" (decision B.22/19);

(f) "Anti-Money Laundering and Countering the Financing of Terrorism Policy" (AML/CFT Policy) (decision B.18/10);

(g) "Policy on the Protection of Whistle-blowers and Witnesses" (decision B.BM-2018/21);

(h) "Environmental and Social Management System: Environmental and Social Policy" (decision B.19/10);

(i) "Comprehensive Information Disclosure Policy of the Fund" (decision B.12/35) regarding the disclosure of environmental and social (E&S) information; and

(j) "Updated Gender Policy and Gender Action Plan 2020–2023" (decision B.24/12).

2.1 Legal status, registration, permits and licences

4. The applicant provided documents on its establishment and licences to operate, where relevant, as a part of the application. The applicant was established on 19 January 1986 under the Company Act, 2021 B.S (1964 A.D.) as Nepal Indosuez Bank Ltd., and renamed Nepal Investment Bank Ltd. on 12 June 2002. Effective on 11 January 2023, Nepal Investment Bank Ltd merged with Mega Bank Limited pursuant to the Banks and Financial Institutions Act, 2017 and the Banks and Financial Institutions Merger and Acquisition Bye-Laws, 2017 (as amended) and the merged entity continued as Nepal Investment Mega Bank Limited. The applicant is listed on the Nepal Stock Exchange and is licensed to conduct financial transactions as an "A" class bank by the Nepal Rastra Bank. As of December 2023, 60.81 per cent of the applicant's shares are held by promoters and 39.19 per cent by the general public. The applicant has

indicated that it has the legal capacity to enter into the accreditation master agreement with GCF noting that further discussions will take place during Stage III if accredited.

2.2 Institutional presence and relevant networks

5. The applicant is headquartered in Kathmandu, Nepal and has a strong national presence with 260 branches. As of December 2023, the applicant has 3,140 staff members. As one of the leading commercial banks in Nepal it works with both public and private sector partners and offers access to funds for a wide range of beneficiaries and sectors. As a nominated entity to seek accreditation to GCF, the applicant has been fully committed to closely working with the NDA to address the climate and development priorities of Nepal and unleash the potential of the private sector for clean energy and climate resilience projects in the country. In addition, the applicant intends to focus on areas of agriculture, industries and commerce to assist the country in shifting towards low-emission and climate-resilient development pathways.

6. In order to advance the objectives of GCF, the applicant, with its rich experience as a commercial bank for investments, intends to mobilize resources from the private sector and deploy GCF financing through various financing instruments, including loans and guarantees, for both climate mitigation and adaptation projects. In particular, the applicant intends to use GCF financing to undertake the following activities:

(a) Estimated USD 120 million (loans) to be provided for 245 MW Utility Scale Solar Power Project with 20 MW Battery Energy Storage System at Dang District in Nepal;

(b) Estimated USD 60 million (loans) in Integrated Solid Waste Management Project in Kathmandu Valley in Public Private partnership where waste will be processed for clean energy products thereby replacing coal, fossil fuels & restricting the release of harmful GHG gases from landfill and open dispose;

(c) Estimated USD 240 million (loans) in Solar Harvest Project (Individual houses 60 MW and Institutional 260 MW); and

(d) Estimated USD 50 million (guarantees) for the public private partnership to be provided for project viability and building security for the projects.

7. The applicant, if accredited, would become the first private sector direct access entity for Nepal, complementing the public sector direct access entities already accredited (Alternative Energy Promotion Centre and National Trust for Nature Conservation). Furthermore, the Nepal Country Programme, endorsed in March 2023 by GCF, listed NIMB as one of the country's prioritized applicants. The country programme indicated that the applicant is expected to serve as the accredited entity for an integrated solid waste management project as noted above in example (b).

2.3 Track record

8. The applicant has implemented several climate change projects in Nepal, financed by national and international public and private institutions. The project areas include energy generation and access, agriculture, land use, tourism, transport and water sanitation, among others.

9. The applicant's track record in managing sustainable development and climate change-related projects to date includes the following:

(a) USD 11.21 million (loans and guarantees) for a 73 Megawatt Hydropower Project in Taplejung District in Nepal;

(b) USD 10.90 million (loans and guarantees) for a 86 Megawatt Hydropower Project in Solukhumbu District in Nepal;

(c) USD 23.96 million (loans and guarantees) for a Water Supply Project in Sindhupalchowk District in Nepal;

(d) USD 0.26 million (loans and guarantees) in a biomass pellet and briquette manufacturing company for industrial, commercial and household purposes located in Dhading District;

(e) USD 23.98 million (loans and guarantees) for cement project located in Siraha District which uses Waste Heat Recovery technology for reducing power consumption; and

(f) USD 0.376 million (loans) for Urban Solar Interest Subsidy Disbursement Project in Kathmandu.

III. Stage II: Accreditation review assessment

10. The applicant applied under the normal track accreditation process. Its application has been assessed by the Accreditation Panel (AP) during Stage II (Step 1) against requirements in accordance with the GCF policies and standards below to the extent applicable to accreditation:

(a) GCF policies and standards identified in paragraph 3 above;

(b) "Revised Environmental and Social Policy" (decision B.BM-2021/18);

(c) "Evaluation Policy" (decision B.BM 2021/07); and

(d) "Updates to the accreditation framework" (decision B.31/06).

11. As part of this assessment, the AP consulted the applicant's website and third-party websites to complement the information provided in the application.

3.1 Fiduciary standards

3.1.1. Basic fiduciary standards: key administrative and financial capacities

12. NIMB has a board of directors comprising seven board members. The governing regulations for the appointment and termination of board members are specified in Chapter 4 of the Banks and Financial Institutions Act. The articles of association delineate the compensation and meeting schedule of the board of directors. NIMB has several governing committees and executive committees. The governing committees that report to the Board, include the Audit Committee, Anti-Money Laundering Committee, Risk Management Committee, and Employment and Management Service Facility Committee. The Executive Committee comprises the Procurement Committee, the Disposal Committee, and the Financial Direction Committee. The committees' functions are governed by clearly defined terms of reference.

13. The applicant maintains an organizational chart that is accessible via its intranet and publicly accessible website and features distinct reporting lines and responsibilities. The applicant formulates corporate objectives in accordance with a documented top-down and bottom-up procedure. An institutional-level strategic plan, annual business strategy and operational strategy analyses are in place, with measurable targets at different levels. The strategic plan outlines four objectives: financial, customer, operational, and human resource development. Five-year financial targets are established and reported quarterly to governing committees. Additionally, the annual business strategy elaborates on green banking goals across various functions.

14. The financial statements of the applicant are prepared in alignment with the Nepal Financial Reporting Standards which is comparable to the International Financial Reporting Standards. These audited financial statements are released annually and are accessible to the public. The applicant discloses its quarterly financial positions on its publicly accessible website. The applicant uses FINACLE, a core banking software, which also possesses functionalities that facilitate donor funds accounting. The finance department is led by the Chief Finance Officer and has a team of 19 qualified staff whose routine operations are guided by the Finance Manual (2017).

15. The applicant has established an audit policy and audit committee terms of reference that regulate the internal audit department's operations. The internal audit department is additionally subject to regulations issued by the Nepal Rastra Bank (NRB), the regulatory body for banks in Nepal. The internal audit department is independent and reports functionally to the Audit Committee. The function adopts a risk-based methodology which is outlined in its policy. The internal audit department disseminates and follows up on implementation of the recommendations quarterly. Ethical principles governing the audits are detailed in the internal audit policy. However, the internal audit policy does not have a provision for conducting periodic internal and external quality assessments. Consequently, the applicant has not initiated its own internal or external assessments but relies on reviews from the NRB, the outcomes of which are not divulged, however. The applicant is in the process of engaging a consultant to undertake the external quality assessment of its audit function.

16. The applicant's external auditors are appointed by the shareholders during the Annual General Meetings. The Audit Committee recommends the selected audit firm in line with the Statutory Auditor Appointment Policy to the Board for endorsement. The external audits are conducted annually in accordance with the Nepal Standards on Auditing and relevant practices, which are consistent with: (i) the International Standards on Auditing, the Banks & Financial Institutions Act, 2073; (ii) Company Act, 2063; and (iii) directives/circulars issued by NRB. The final audited financial statements are published on the applicant's website. The external auditors present their management letters to the Audit Committee and follow-up is undertaken by the internal auditors. Evidence of these were presented to the AP.

17. The applicant did not have a holistic internal control framework that would demonstrate assurance over all the Committee of Sponsoring Organizations of the Treadway Commission (COSO) elements. For instance, it is in the process of embedding its operational risk assessments, reassessing the compliance universe and developing a process of reporting on the efficiency and effectiveness of its operations. It however attains aspects of the framework through various policies and procedures that were presented to the AP. The amendments to the Internal Audit Policy (December 2023) have mandated the audit team to provide assurance to the Audit Committee on how the applicant meets the elements of the COSO framework.

18. The Procurement Committee is responsible for overseeing the procurement function. The applicant presented its 2023 audit demonstrating additional oversight. The applicant's procurement policy is documented in its financial and administrative by-laws (2017). However, the guidelines do not cover all principles consistent with GCF standards such as dispute resolution procedures and procedures for oversight over executing entities. Furthermore, the applicant does not have a process for assessing procurement performance in the implementation of approved projects or for publicising the tender awards. The applicant commits to develop guidelines consistent with GCF standards that will be used for GCF projects.

19. The AP finds that the applicant's policies, procedures and capacity partially meet the basic fiduciary standards on key administrative and financial capacities. The AP found the evidence of track records insufficient. The relevant gaps are identified in paragraphs 15 and 18 and reflected in the corresponding conditions of accreditation in section 4.2.

3.1.2. Basic fiduciary standards: transparency and accountability

20. The applicant has a Code of Ethics (2023) for its employees, contractors and trainees which prohibits all practices included in the GCF Policy on Prohibited Practices. Relevant persons are made aware of the Code through emails which is enforced through signing. The applicant's board members adhere to a separate Code of Ethics. As of 2024, NIMB has adopted a mandatory declaration prohibiting third parties, such as suppliers and executing entities, from engaging in prohibited practices, this declaration will be signed by relevant persons and is enforceable by contract. To reinforce ethical oversight, the applicant has established an executive-level Ethics Committee (December 2023) with specific terms of reference. The applicant's Conflict of Interest and Asset Disclosure Policy (2021) extends coverage to the Board and the employees of the bank. Additionally, the applicant is subject to NRB asset disclosure guidelines outlining required disclosures to mitigate conflicts and manage risks associated with related party transactions. Sample disclosures in line with the specified policies were provided by the applicant to the AP. The applicant has formulated and publicly disclosed its statement of zero tolerance on its website.[4] Evidence of disseminating this to its employees was provided to the AP. The applicant has a publicly available Whistleblowing Policy (2021) that provides for anonymity and assures protection to those who report wrongdoing of protection. The applicant has created a channel for reporting concerns anonymously and has designated the Head of the Human Resources Department to receive concerns. The applicant does not have an independent investigation function, nor does it have publicly available terms of reference and guidelines for the investigation function. The applicant is in the process of developing these to comply with GCF standards.

21. NIMB's Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT) Policy and guidelines (2023) delineate the procedures for undertaking transaction monitoring and know-your-customer (KYC) checks for its customers and employees. The applicant implements a risk-based approach in conducting its KYC and customer due diligence processes. Third parties, such as remittance agents, are also required by contract to comply with AML/CFT policies. In addition, as of 2024, the applicant adopted standard operating procedures (SOP) to ensure that requisite AML/CFT checks are performed on suppliers who are not bank customers. The SOP's require suppliers to sign mandatory compliance declarations, samples of which were shared with the AP. The compliance function is responsible for AML/CFT compliance across the bank. Training and awareness sessions are conducted for all staff and evidence of these was provided. The Anti-Money Laundering Committee provides governance oversight of the bank's adherence to AML/CFT regulations.

22. The AP finds that the applicant's policies, procedures and capacity partially meet the basic fiduciary standards on transparency and accountability, and to the extent applicable to accreditation, the GCF Policy on Prohibited Practices, the GCF Policy on the Protection of Whistle-blowers and Witnesses, and the GCF AML/CFT Policy. The AP found the evidence of track records to be sufficient. The relevant gaps are identified in paragraph 20 and are reflected by the corresponding conditions of accreditation in section 4.2.

3.1.3. Specialized fiduciary standard for project management

23. The applicant has established processes and systems for the appraisal and management of loans and project financing. The appraisal process involves multiple layers of checks conducted by various departments as outlined in the 2023 Credit Policy and Procedural

[4] Available at: https://www.nibl.com.np/whistle/

Guidelines. This process is initiated by the Relationship Manager conducting an initial assessment which encompasses an understanding of the emerging needs of the borrower; comprehending the customer's business along with its associated risks; and evaluating the management's capability to handle the business. KYC information is obtained for the borrower's shareholders and directors, and credit checklists are reviewed. Following this, an evaluation of the borrower's debt servicing capability is conducted. Additionally, planning for possible defaults where the enforceability and current status of the security of the loan is checked alongside assessing any special circumstances that could lead to default.

24. The loan application would then undergo approval processes at multiple levels. The application is first presented to the Branch Manager and the Provincial Manager, who provide approvals according to their designated authority levels. Subsequently, the credit file is forwarded to the respective technical divisions for assessment, and to ensure compliance with various policies, procedures and regulations under their purview. The Risk Management Department then evaluates the application, providing an independent risk rating, as well as verifying alignment with risk management guidelines, ensuring that the risks are within the bank's risk appetite. Following this review, the loan application proceeds to the respective department heads for approval based on their designated authority levels. Further approval stages involve the Chief Executive Officer (CEO), who approves within his set limits, and, if exceeding his thresholds, the Management Credit Committee. For credits surpassing 750 million Nepalese rupees, board approval is sought. The Board also holds the authority to approve deviations or exceptions to the established policies.

25. In the case of project financing, the applicant enlists the services of due diligence consultants to assess potential projects. Environmental risk is evaluated using an environmental and social due diligence checklist, aligning with the guidelines on Environmental and Social Risk Management (ESRM) issued by NRB and the applicant's own ESRM policy. A technical consultant and a finance consultant are also appointed for the technical and financial aspects of the project, respectively. The assessments provided by these consultants are then received by the Relationship Manager and accordingly discussed. Site visits and surprise visits are conducted by the applicant's officials at least annually. NIMB provided the AP with such an inspection report. To comply with GCF standards on monitoring and evaluation, the Monitoring and Evaluation Policy (2021) developed by the applicant will be operationalised. The applicant commits to comply with GCF standards on monitoring and evaluation.

26. The applicant identifies projects at risk through a combination of site monitoring visits, reports from technical and finance consultants, and monitoring efforts by its Relationship Managers, who play a crucial role in ongoing assessments and identification of red flags. Once red flags are detected, they would be escalated to and discussed in the consortium meetings for consortium loans. For non-consortium loans, the Relationship Manager would escalate the risks and mitigation proposals to the appropriate officials as determined by the designated approval limits.

27. The applicant does not have institutional procedures for, nor undertaken preparation of, its funding proposals, tenders for projects, project implementation plans and project closure reports. The applicant has developed draft project closure guidelines and a GCF Operational Manual and Workflow (2021) to be followed for GCF projects/programmes once accredited. The Manual covers the procedures for concept development, project appraisal, implementation and supervision as well as project closure. However, the GCF Operational Manual and Workflow developed by NIMB has not been operationalised and needs to be updated.

28. The AP finds that the applicant's policies, procedures and capacity partially meet the specialized fiduciary standard for project management. In addition, the AP finds that the

applicant's track record is insufficient. The relevant gap is identified in paragraph 27 and is reflected in the corresponding condition of accreditation in section 4.2.

3.1.4. Specialized fiduciary standard for grant award and/or funding allocation mechanisms

29. The applicant did not apply for accreditation for this standard at this time.

3.1.5. Specialized fiduciary standard for on-lending and/or blending (for loans and guarantees)

30. As described above, the applicant has systems in place for the appraisal and management of loans. In addition, the applicant adheres to the Single Obligor Limit prescribed by the NRB, which imposes restrictions on the amount of investments it can extend to a single borrower. Due to the Single Obligor Limit, the applicant provides loans through consortium arrangements where multiple banks collaborate to provide the necessary funding for projects. The applicant provides the funding with other banks in the form of letters of credit, guarantees and loans. The consortium lead would be responsible for conducting the required due diligence for the borrower. Where the applicant is the lead, the technical and financial consultant will draw up a tripartite agreement with the applicant, the borrower and the consultants. Progress monitoring for projects within the consortium is conducted through these consultants. Consortium meetings are convened at regular intervals to assess project progress and other significant project developments.

31. The applicant is a licenced "A" class financial institution and hence is authorized to extend loans or guarantees, including utilizing GCF funding. The applicant presented the AP with its track record for the past five years. The track record showed the applicant's participation in a consortium, to facilitate financing through loans and guarantees amounting to USD 265 million to which the applicant contributed USD 26 million in the form of loans and guarantees (2021).

32. In October 2023 the applicant did not have international credit ratings but obtained a credit rating from ICRA Nepal Issuer ratingA& 'watch with negative implications'. The rating implies that the applicant has an adequate degree of safety regarding the timely servicing of financial obligations and that they carry low credit risk.

33. The applicant finances the Deprived Sector by supporting low-income individuals or entities directly or indirectly through intermediaries. Indirect financing involves providing wholesale loans to D-class financial institutions and cooperatives engaged in micro-credit activities which may also involve collaborations with government or non-government entities. Several checks are conducted, including loan portfolio assessments of the intermediaries. Ongoing monitoring comprising half-yearly inspection reports, quarterly business visits, annual collateral visits, and regular credit monitoring reports to the CEO are also undertaken. Relevant examples were shared with the AP.

34. The applicant has an Information Disclosure Policy (2020) that outlines the principles governing the disclosure of information to the public. However, the current policy does not allow for the publication of disclosures required in GCF on-lending and blending standards. The applicant commits to incorporating these in its operational manuals and establishing the requisite systems.

35. The applicant prepares quarterly financial risk management reports which are reviewed by the Risk Management Committee, including a loan portfolio assessment that informs the committee of the existing credit risks. The applicant ensures funds are channelled transparently to beneficiaries by incorporating various financial checks in the appraisal process

and the utilization of consultants in ongoing monitoring. For long-term fixed asset projects, independent consultants provide reports at each drawdown of the loan. These consultant reports undergo internal review, and any funds not used for their intended purposes are considered 'unverified expenses' and deducted from subsequent drawdowns. The applicant has provided copies of such reports.

36. The AP finds that the applicant's policies, procedures and capacity partially meet the specialized fiduciary standard for on-lending and/or blending for loans and guarantees. In addition, the AP finds that the applicant's track record is sufficient. The relevant gap identified in paragraph 35 is reflected in the corresponding condition of accreditation in section 4.2.

3.2 Environmental and social safeguards

3.2.1. Environmental and social policy, management and monitoring

37. NIMB's Environmental and Social Management System (ESMS) comprises its Environmental and Social Risk Management (ESRM) Policy, approved by its Board in July 2023, and ESRM guidelines for banks and financial institutions, approved by its Board in February 2022. The ESRM Policy and ESRM guidelines set standards for the identification, assessment and management of environmental and social (E&S) risk. The ESRM Policy has undergone an internal audit of the effectiveness of the policy management.

38. The ESRM guidelines describe the applicant's process for E&S risk and impacts identification including categorization, E&S mitigation management, and monitoring. The ESRM guidelines describe the applicant's monitoring and evaluation process for assessing the E&S performance in its projects/programmes including assessing the effectiveness of the mitigation measures. NIMB provided its institutional-level organization chart including the key responsibilities and competencies of its E&S staff.

39. NIMB follows the ESRM guidelines of NRB via its ESRM Policy in line with national climate change policies. NIMB has also initiated various supportive mechanisms in its policies to support national plans for reducing carbon emission. Despite its negligible emissions, Nepal is committed to taking determined actions on climate change in line with the provisions under the Paris Agreement. This was communicated at the World Leaders Summit during the twenty-sixth Conference of the Parties to the United Nations Framework Convention on Climate Change, in November 2021. Nepal has submitted an ambitious nationally determined contribution (NDC) that plans to decarbonize its economy in all sectors, and aims to reach net zero emissions by 2045. Nepal indicates that it will ensure that 15 per cent of its total energy demand is supplied from clean energy sources and 45 per cent of its country will remain under forest cover by 2030. NIMB has no past, current, or potential future investments in carbon intensive projects/programmes.

40. The provisions related to Indigenous Peoples are incorporated in Performance Standard (PS) 7 in ESMS for GCF projects. The ESRM Policy includes provisions on sexual exploitation, abuse and harassment that NIMB would apply in its GCF-financed activities. NIMB commits to perform mid-term and terminal evaluation of GCF-financed projects/programmes addressing E&S and gender matters.

41. The AP finds that the applicant's environmental and social policy, management and monitoring, comprising the E&S policy, supported by evidence of its track record, meets the GCF revised Environmental and Social Policy to the extent applicable to accreditation and GCF interim ESS standards for maximum E&S risk category B/I-2 projects/programmes with respect to PS 1–8.

3.2.2. External communications, information disclosure and grievance redress mechanism

42. NIMB's external communication channels comprise a complaint/suggestion box located at branch offices, telephone contact number, mailing address, and social media via NIMB's official Facebook/Instagram/Twitter(X) accounts, and offers an option to speak/discuss in person with an authorized NIMB staff member. NIMB has established an independent grievance redress mechanism[5] which deals with E&S related grievances/complaints raised by people, societies or a community affected, or that may be affected, by NIMB-financed activities, in a transparent process. All redress actions will be taken at no cost and without any retribution. NIMB has created an online portal on its website[6] to receive E&S related inquiries or complaints. NIMB shall also require its executing entities to have a project-level GRM will check if it adheres to NIMB's institutional project-level GRM. NIMB has a team of internal staff not associated with project design or implementation with separate job descriptions, who report directly to its Grievance Handling Committee. NIMB E&S disclosure policy is in line with the GCF Information Disclosure Policy related to E&S category B/I-2 projects/programmes. NIMB provided track record on the implementation of its project-level GRM and E&S disclosure requirements in its ESRM Policy for its projects/programmes in E&S risk category B/I-2.

43. The AP finds that the applicant's E&S complaints mechanism and E&S information disclosure practice, supported by evidence of its track record, meet the GCF Information Disclosure Policy standards with regard to E&S information, and the GCF revised Environmental and Social Policy to the extent applicable to accreditation and GCF interim ESS standards for maximum E&S risk category B/I-2 projects/programmes with respect to Performance Standards 1–8.

3.3 Gender

44. NIMB's Gender Equality and Social Inclusion (GESI) Policy derives its mandate from the 2015 Constitution of Nepal. The GESI was approved by the NIMB Board in February 2021 to bring women, persons with disability, marginalized populations, minorities and disadvantaged communities into the mainstream of national development. The GESI Policy responds to the major international commitments, such as the Convention on the Elimination of All Forms of Discrimination against Women, the Beijing Declaration and Platform for Action, the International Labour Organization Convention 169 (Indigenous and Tribal Peoples Convention, 1989), the Sustainable Development Goals, and further includes the gender mandate given by the eighteenth Conference of the Parties in the process of United Nations Framework Convention on Climate Change.

45. The main objective of the GESI Policy is to provide guidance on implementation of gender equality and social inclusion in all aspects of NIMB's projects/programmes in in an integrated manner. The specific objectives of the GESI Policy are to ensure that: (i) gender and an inclusive approach are adopted by NIMB and monitored accordingly to ensure that gender mainstreaming includes the allocation of resources, identification of opportunities and benefits; and (ii) GESI issues are well addressed in all projects/programmes for multilateral and bilateral funds including GCF. The GESI Policy includes guidance on implementation of gender equality and social inclusion in all phases of NIMB's projects/programme cycles comprising

[5] Available at: https://www.nibl.com.np/Grievance/NIMBs_Institutional_and_Project_Level_GRM.pdf
[6] Available at: https://www.nimb.com.np/Grievance

identification, appraisal, design, management and implementation, and monitoring, as well as evaluation.

46. The ESRM Unit is responsible for the overall administration, implementation and oversight of the E&S risk assessment process including the gender aspects. The ESRM Unit is assisted by the applicant's business units, creating a seamless cross functional collaboration. The Operational Risk Management Committee is responsible for review reports regarding gender matters for quality assurance. For bilateral and multilateral fund utilization, NIMB has set up a dedicated team with clear responsibilities to monitor GESI progress and report to the Credit Risk Management Committee. NIMB provided a sample of gender assessments for projects financed by it. NIMB conducts an orientation and training programme to raise staff awareness regarding gender equality, its roles and relations, empowerment and social inclusion.

47. The AP finds that the applicant's gender policy, procedures, capacities and competencies, supported by evidence of its track record, fully meet the updated GCF Gender Policy to the extent applicable to accreditation.

IV. Conclusions and recommendation

4.1 Conclusions

48. Following the adoption of the Strategic Plan for the Green Climate Fund 2024–2027 (decision B.36/13 (a)), the Secretariat has been reviewing all applicants based on their potential to contribute to the targeted results of the Strategic Plan. Following the assessment of NIMB, the applicant is found to have the potential to support GCF in implementing its Strategic Plan for 2024-2027 with respect to:

(a) Complementing the existing direct access entity (DAE) network for Nepal by seeking equity and guarantees as part of its accreditation scope and also the potential to bring medium-sized projects to GCF if accredited;

(b) The indicative projects/programmes that the applicant intends to submit to GCF as part of its accreditation scope recommended by the AP in paragraph 51 below;

(c) Alignment of said indicative pipeline with country programming priorities;

(d) Potential contribution to supporting diversity in GCF results areas as it is able to programme in all results areas and to achieving targeted results for the second replenishment period of GCF such as:

  (i) Support for developing countries that results in 90 to 180 national and regional financial institutions supported to access GCF resources, and other green finance, particularly for micro, small and medium-sized enterprises;

  (ii) 40–70 approved proposals for adaptation projects, including for locally-led adaptation action as the applicant intends to undertake adaptation and cross-cutting activities;

(e) Increasing the portfolio of DAEs to GCF, particularly as the applicant is the first private-sector DAE in the country;

(f) Mobilizing climate finance at scale since the applicant is being recommended for accreditation in the medium-sized category;

(g) Enhancing private sector participation, as a private-sector entity and by creating enabling environments, de-risking climate investments, and developing innovative financial products/partnerships through the use of financial instruments such as loans and guarantees;

(h) Diversifying the use by DAEs of appropriate financial instruments, such as loans and guarantees; and

(i) Addressing interests of particularly vulnerable groups as a DAE based in a least developed country.

49. Following its assessment, the AP concludes the following in relation to the application with respect to the applicant's ability to meet the GCF accreditation standards identified in paragraph 10 above:

(a) The applicant partially meets the requirements of the GCF basic fiduciary standards, and to the extent applicable to accreditation, the GCF Policy on the Protection of Whistle-blowers and Witnesses, the GCF Policy on Prohibited Practices, the GCF AML/CFT Policy and the specialized fiduciary standard for project management, and specialized fiduciary standard for on-lending and/or blending for loans and guarantees. The gaps are related to the lack of a requirement to conduct external quality assessments in internal audit policies, procurement procedures consistent with GCF requirements, and contractual obligations that ban prohibited practices by third parties, such as suppliers and executing entities. The applicant also lacked a dedicated investigation function, publicly available investigation terms of reference and guidelines, and had inadequate procedures for project management and on-lending and blending. The gaps are identified in paragraphs 15, 18, 20, 27 and 35, and are addressed by the corresponding conditions of accreditation in section 4.2 below;

(b) The applicant meets the GCF revised Environmental and Social Policy to the extent applicable to accreditation, GCF interim ESS standards and the GCF Information Disclosure Policy on disclosure of E&S information in relation to the medium E&S risk (category B/I-2);

(c) The applicant has demonstrated that it has a policy, procedures and competencies in order to implement its gender policy, which is found to be consistent with the updated GCF Gender Policy to the extent applicable to accreditation, and has demonstrated that it has experience in gender consideration in the context of climate change; and

(d) The applicant has demonstrated that it has institutional-level systems, capacities and competencies regarding evaluation as required by the aforementioned GCF basic and specialized fiduciary standards and interim ESS standards that would enable it to implement the GCF Evaluation Policy for its GCF-funded activities.

4.2 Recommendation on accreditation

50. The AP recommends, for consideration by the Board, APL129 for accreditation as follows:

(a) **Accreditation type:**

(i) **Maximum size of an individual project or programme:** medium;[7]

(ii) **Fiduciary functions:**

(1) Basic fiduciary standards;

(2) Specialized fiduciary standard for project management; and

(3) Specialized fiduciary standard for on-lending and/or blending (for loans and guarantees); and

(iii) **Maximum environmental and social risk category:** medium risk (category B/I-2).[8]

(b) **Conditions:** the applicant will be required to submit to the AP, through the Secretariat, information on how it has complied with the conditions. The AP will thereafter assess whether the conditions have been met. This assessment will be communicated by the Secretariat, on behalf of the AP, to the Board for information purposes:

(i) Conditions to be met by the applicant with the submission of the first annual self-assessment during the accreditation term:

(1) Delivery to GCF by the applicant of evidence, in a form and substance satisfactory to the AP, of:

a. Adoption of an updated internal audit policy to incorporate the need to have regular internal or external quality assessments; and, provision of an independent external quality assessment report of the overall effectiveness of the applicant's internal audit function;

b. Adoption and publication of investigation guidelines and procedures as well as the terms of reference for the investigation function; and the establishment of a system to track the resolution of matters reported in line with the whistle-blowing policy and prohibited practices requirements and to report periodically on case trends;

c. A review undertaken by the applicant's internal audit unit or by an independent and qualified consultant or auditor, which confirms the effective operationalization of the investigation function and ethics committee; and

d. Adoption of updated project management guidelines for GCF projects/programmes that will incorporate fit-for-purpose procedures for managing projects, on-lending and blending and

[7] As per annex III to decision B.31/06, "medium" is defined as "maximum total projected costs at the time of application, irrespective of the portion that is funded by GCF, of above USD 50 million and up to and including USD 250 million for an individual project or programme."

[8] As per the revised Environmental and Social Policy adopted in decision B.BM-2021/18, Category B is defined as "Activities with potential mild adverse environmental and/or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures", and intermediation 2 is defined as "When an intermediary's existing or proposed portfolio includes, or is expected to include, substantial financial exposure to activities with potential limited adverse environmental or social risks and/or impacts that are few in number, generally site-specific, largely reversible, and readily addressed through mitigation measures; or includes a very limited number of activities with potential significant adverse environmental and/or social risks and/or impacts that are diverse, irreversible, or unprecedented."

publication of required project information in line with GCF standards; and

(2) Delivery to GCF by the applicant of evidence, in a form and substance satisfactory to the AP, of:

a. Adoption and publication of procurement policy and guidelines applicable to procurement in connection with the implementation of GCF-approved projects/programmes, that fulfil GCF standards and evidence that relevant staff have been made aware of and/or trained on the guidelines; and

b. Establishment of a process and system to publicize on the applicant's website competitive procurement notices within the applicant's thresholds, and subsequent contract awards for GCF-approved projects/programmes.

51. The applicant has been informed of the recommendation for accreditation, including the accreditation type and conditions, as identified in paragraph 51 above, and agrees to the recommendation.

4.3 Remarks

52. The applicant is encouraged to ensure that continual assurance is provided to its Audit Committee regarding its internal control framework compliance with the COSO principles.